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Director
Infrastructure Policy

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Mr. William Cody
Secretary
Federal Maritime Commission
800 North Capitol Street, NW
Washington, DC 20573

RE: Docket No. 22-24, Definition of Unreasonable Refusal to Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier,

The National Association of Manufacturers (NAM), the largest manufacturing association in the United States representing 14,000 manufacturers in every industrial sector and in all 50 states, respectfully offers this submission for consideration by the Federal Maritime Commission (FMC) concerning Docket No. 22 – 24, defining the necessary elements to identify and prohibit ocean carriers from unreasonably refusing to deal or negotiate for vessel space accommodations and specifically assessing reasonableness. The NAM appreciates the opportunity to provide input to the agency as it takes additional steps to implement this important provision from the Ocean Shipping Reform Act (OSRA) of 2022.

Manufacturers in America operate as significant contributors to the economic activity across all U.S. ports and in domestic and international ocean-borne goods movement. Throughout the past two and a half years, as pandemic impacts created unprecedented transportation supply chain challenges, manufacturers and their operational and logistics teams have adapted innovative mitigation strategies to continue meeting global customer and consumer needs. The challenges posed have ranged from historic delivery delays and unreliable shipping schedules to unexplained cancelations and substantial cost increases for shippers. In developing measures to respond to a shifting shipping landscape, manufacturers have adopted new practices to become flexible in operating essential businesses that contribute billions of dollars to the American economy. Oftentimes shipping schedules change with little to no warning based on operational decisions by ocean carriers and the result adds cost and time to the ultimate arrival of both final products and necessary manufacturing inputs. These decisions, made with no explanation, can cause considerable cost burdens for shippers during the shipping process.

Efforts led by the FMC and other federal agencies focused on improving operations across the board in the ocean shipping environment are appreciated by manufacturers. Through the ongoing implementation of OSRA, the FMC has advanced significant policies and solutions to support a more balanced ocean shipping system. Docket No. 22 – 24 and the related proposed rulemaking will provide the agency with tools to prohibit unreasonable denial of service by common ocean carriers and ensure that shipper and carrier priorities are harmonized to improve that balance and increase the overall reliability of goods movement through U.S. ports.

In the proposed rule, the FMC seeks to develop appropriate definitions for both “unreasonably” and “refuse to deal or negotiate” regarding the allocation of vessel space. The agency notes that in clarifying these definitions there is no intent to become immersed in every contractual negotiation but rather establish broad precedent to oversee industry standards and to better support the adjudication of complaints. The agency further clarifies that actions by an ocean common carrier are considered reasonable when failure to deal or negotiate is connected to a legitimate business decision or motivated by legitimate transportation factors.

The NAM supports the agency’s efforts to clarify these definitions and believes that existing logistical data that is publicly available and found within internal oversight functions of the FMC, such as port call reporting and shipping lane data metrics, can provide a foundation for establishing reasonable use and customary operational practices. Without the need to set prescriptive standards, the FMC can build informed conclusions about reasonableness and carrier performance based on the routine schedules and practices as they occur within the ocean shipping industry. The reasonableness of a denial of service or refusal to negotiate may be assessed against those industry norms in the event of formal shipper complaints or to identify anomalous ocean carrier practices unconnected to legitimate business concerns or external transportation factors. Further, by developing a definition that incorporates a methodology built upon those standards, the agency would permit ocean carriers the opportunity to provide clear reasoning for denial of vessel space even in the event of unscheduled cancelations. The resulting process could provide shippers pertinent information for future shipping schedules and improve planning procedures thereby enhancing operational efficiency for all ocean shipping system users.

Manufacturers, beneficial cargo owners and industrial shippers do not dictate port call decisions or additional important details related to international shipping lane and port schedules. Rather, those entities negotiate and contract with the common ocean carriers and other shipping partners to establish specific schedules for product arrival and departure. Ocean carriers, by contrast, own and operate the ships and, oftentimes, the containers used in ocean transit. Accordingly, corrective agency enforcement measures, if necessary through this rulemaking, may be appropriately applied to those responsible for schedules and operational disruption. As the FMC is aware, within the interconnected transportation supply chain that operates at U.S. ports, the strategic scheduling and equipment provisioning required to accommodate a single shipment involves multiple movements, companies and official agreements. Analogous to the larger supply chain network, when one link in that chain is disrupted, the ripple effect sweeps outward and can require rapid action and significant cost in order to arrange alternative shipment, storage or other accommodation by cargo owners. The reliability of agreed upon schedules between ocean carriers and the manufacturers and shippers who utilize ocean transportation is of paramount importance to ensure efficient international commerce. Establishing minimum notification thresholds for ocean carriers as they plan strategic equipment movement and port calls would ease burdens for all shipping partners and enhance system-wide transportation supply chain reliability.

Additionally, variable provisions in OSRA addressed the practice of blank sailings, or ocean carrier decisions to skip ports or entire strings of ports for unclear purposes. In pursuing this rulemaking, the FMC should also consider the broader impacts of an increasing delta between total shipped capacity of laden and empty containers. These two factors – the prominence of blank sailings and a rising propensity or apparent partiality of ocean carriers to accept empty containers for profitability goals – are linked to economic viability and competitiveness for manufacturers in the U.S. The FMC’s mission statement is to ensure a competitive and reliable international ocean transportation supply system that supports the U.S.

economy and protects the public from unfair and deceptive practices. Whether through definitions promulgated herein or by the establishment of new standards or enforcement practices, the NAM encourages the FMC to account for these factors in the development of this rulemaking.

The NAM appreciates the opportunity to provide input as the FMC continues implementing integral regulatory updates required by OSRA. Specifically, the NAM appreciates the agency's efforts to address and define unreasonable refusal to deal or negotiate by ocean carriers regarding vessel space accommodations. The NAM looks forward to continuing to work with the FMC as this deliberation and any subsequent rulemakings are proposed.

Submitted electronically by:

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